



Capital Markets Day

December 16, 2021



Julie Stewart
Vice President, Investor Relations

Agenda

- ▶ **Ed Bastian** Chief Executive Officer
Accelerating Our Climb
- ▶ **Glen Hauenstein** President
Delta – The Premium Airline Brand
- ▶ **Alain Bellemare** President - International
Building A Global Future
- ▶ **Dan Janki** Chief Financial Officer
Creating Long-Term Value
- ▶ **Fireside Chat: Ed Bastian and Stephen Squeri**
The Power Of The DAL/AXP Partnership

Safe Harbor

Statements made in this presentation that are not historical facts, including statements regarding our estimates, expectations, beliefs, intentions, projections, goals, aspirations, commitments or strategies for the future, should be considered “forward-looking statements” under the Securities Act of 1933, as amended, the Securities Exchange Act of 1934, as amended, and the Private Securities Litigation Reform Act of 1995. Such statements are not guarantees or promised outcomes and should not be construed as such. All forward-looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from the estimates, expectations, beliefs, intentions, projections, goals, aspirations, commitments and strategies reflected in or suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to, the material adverse effect that the COVID-19 pandemic is having on our business; the impact of incurring significant debt in response to the pandemic; failure to comply with the financial and other covenants in our financing agreements; the possible effects of accidents involving our aircraft or aircraft of our airline partners; breaches or lapses in the security of technology systems on which we rely; disruptions in our information technology infrastructure; our dependence on technology in our operations; our commercial relationships with airlines in other parts of the world and the investments we have in certain of those airlines; the effects of a significant disruption in the operations or performance of third parties on which we rely; failure to realize the full value of intangible or long-lived assets; labor issues; the effects of weather, natural disasters and seasonality on our business; the cost of aircraft fuel; the availability of aircraft fuel; failure or inability of insurance to cover a significant liability at Monroe’s Trainer refinery; failure to comply with existing and future environmental regulations to which Monroe’s refinery operations are subject, including costs related to compliance with renewable fuel standard regulations; our ability to retain senior management and other key employees, and to maintain our company culture; significant damage to our reputation and brand, including from exposure to significant adverse publicity; the effects of terrorist attacks, geopolitical conflict or security events; competitive conditions in the airline industry; extended interruptions or disruptions in service at major airports at which we operate or significant problems associated with types of aircraft or engines we operate; the effects of extensive government regulation we are subject to; the impact of environmental regulation, including increased regulation to reduce emissions and other risks associated with climate change, on our business; and unfavorable economic or political conditions in the markets in which we operate or volatility in currency exchange rates.

Additional information concerning risks and uncertainties that could cause differences between actual results and forward-looking statements is contained in our Securities and Exchange Commission filings, including our Annual Report on Form 10-K for the fiscal year ended December 31, 2020 and our Quarterly Report for the quarterly period ended September 30, 2021. Caution should be taken not to place undue reliance on our forward-looking statements, which represent our views only as of the date of this presentation, and which we undertake no obligation to update except to the extent required by law.





Accelerating Our Climb

Ed Bastian

Chief Executive Officer

Five Key Takeaways

1

Competitive Advantages

Delta's actions during the pandemic further strengthened its competitive advantages and enhanced its position as a **trusted consumer brand**

2

Industry Leadership

Delta is **leading the industry** operationally and financially by demonstrating agility, operational excellence and discipline

3

Brand Preference

Delta continues to **elevate the customer experience** through its best-in-class service and by investing across the travel ribbon, enhancing brand preference and loyalty

4

Earnings Power

Delta expects to deliver **meaningful profitability in 2022** on its path to improved earnings power beyond pre-pandemic levels by 2024

5

Financial Foundation

Delta's top financial priority is restoring its financial foundation, with a focus on efficiency and cash generation to **achieve investment grade metrics by 2024**



Our Competitive Advantages And Brand Have Strengthened



**People and
Culture**



**Operational
Reliability**



**Global
Network**



**Customer
Loyalty**



**Financial
Foundation**

Unparalleled Competitive Advantages Support Our Trusted Consumer Brand



People And Culture – Powering The Delta Difference

Protecting Our People And Our Culture

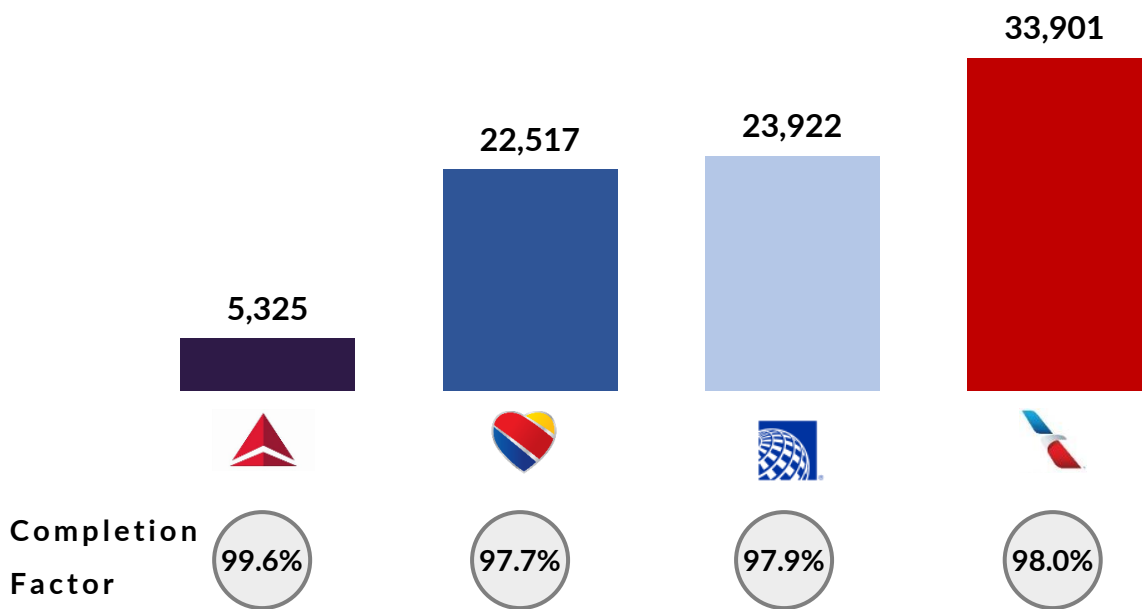
- ✓ Dedicated and experienced team, including 9,000 new employees, that continue to deliver the best performance in the industry
- ✓ Avoided pandemic furloughs with high percentage of workforce participating in voluntary programs
- ✓ Highly engaged employees that continue to put the customer first and power the Delta Difference
- ✓ Hiring of industry's first Chief Health Officer
- ✓ Committed to closing diversity gaps and promoting diversity initiatives



Operational Reliability – Excellence That Sets Delta Apart

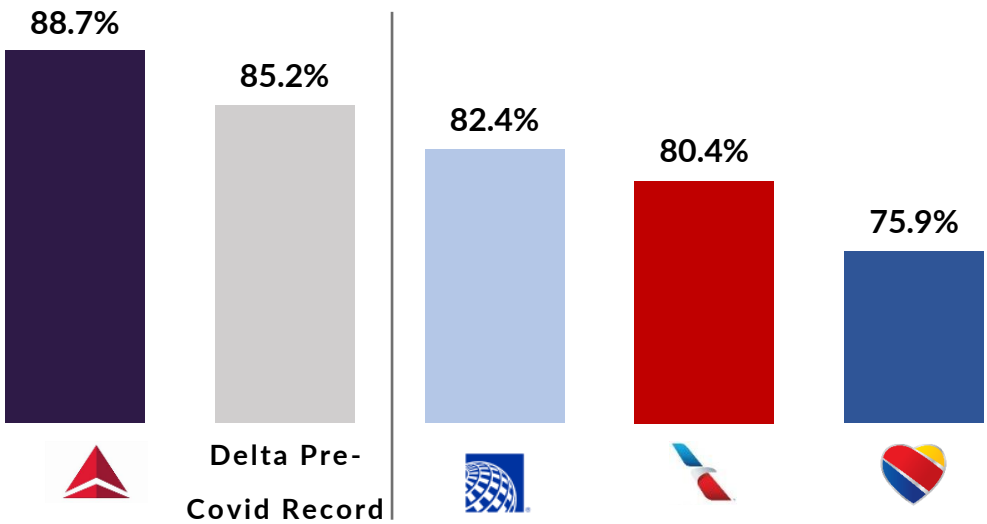
Cancellations By Airline¹

November 2021 YTD



On Time Arrival By Airline²

November 2021 YTD



Delta Pre-Covid Record

Widened Our Operational Lead Through The Pandemic



¹ System cancellations
² Mainline Domestic arrival within 14 minutes per U.S. DOT reporting requirements; Delta Pre-Covid defined as January – November 2019

Global Network – Strengthened And Accelerated Footprint

Domestic

- Improved local share in both core and coastal hubs by 3 points
- Accelerated generational airport investments in largest revenue centers

International

- Maintained and supporting our partners through restructuring
- Fast-tracked roll out of Delta Premium Select across our widebody fleet

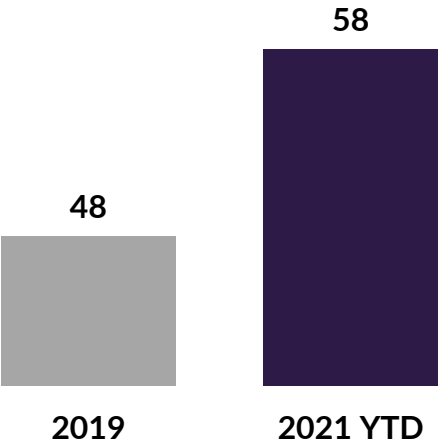
Fleet

- Accelerated fleet simplification by ~4 years and removed two fleet families
- Retired 200 of our oldest, least efficient aircraft



Customer Loyalty – The Power Of The Delta Brand

Domestic Net Promoter Score



**+10 Point Improvement
in NPS vs. 2019**

Customer Engagement¹

Co-Brand Spend

122%

Co-Brand Acquisitions

111%

SkyMiles Acquisitions

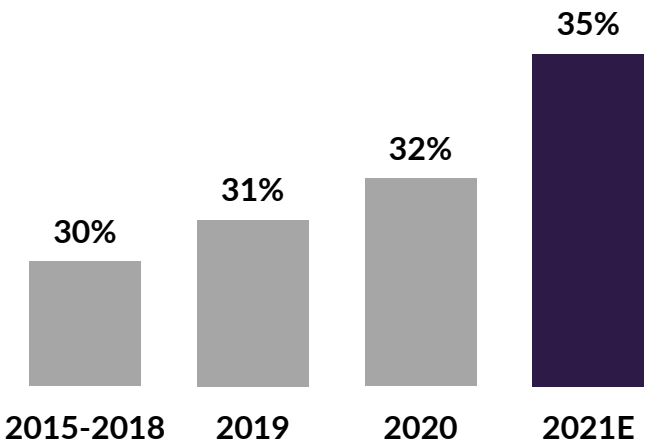
112%

Fly Delta App Downloads

110%

**Record Customer Engagement
With The Brand**

Domestic Corporate Share²



**Domestic Corporate Share ~15
Points Higher Than Seat Share**

Widely Recognized As The Airline Of Choice



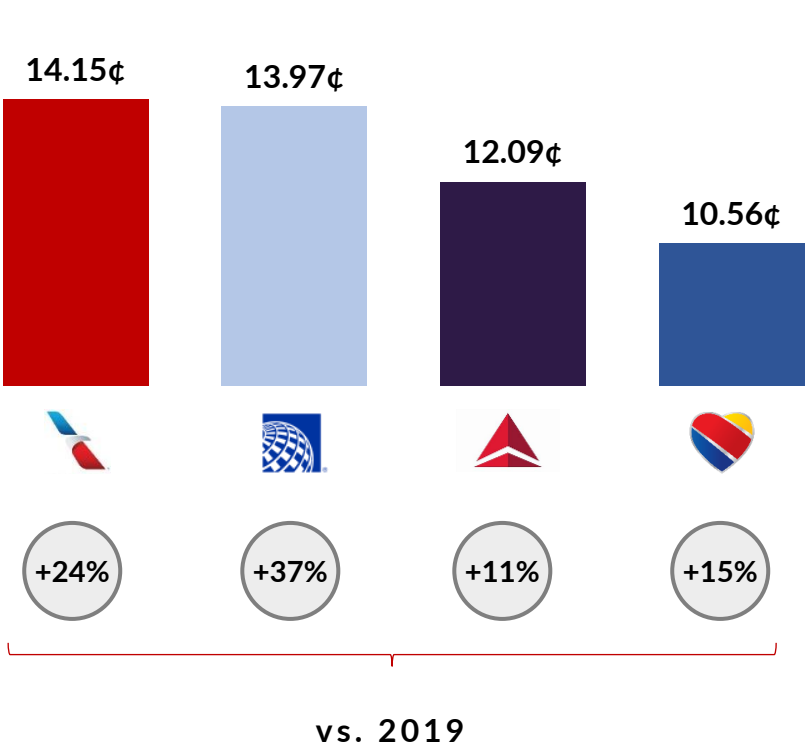
¹ Data for November month 2021 vs. November 2019

² Source: PRISM

Delta Continues To Outperform Peers On Key Financial Metrics

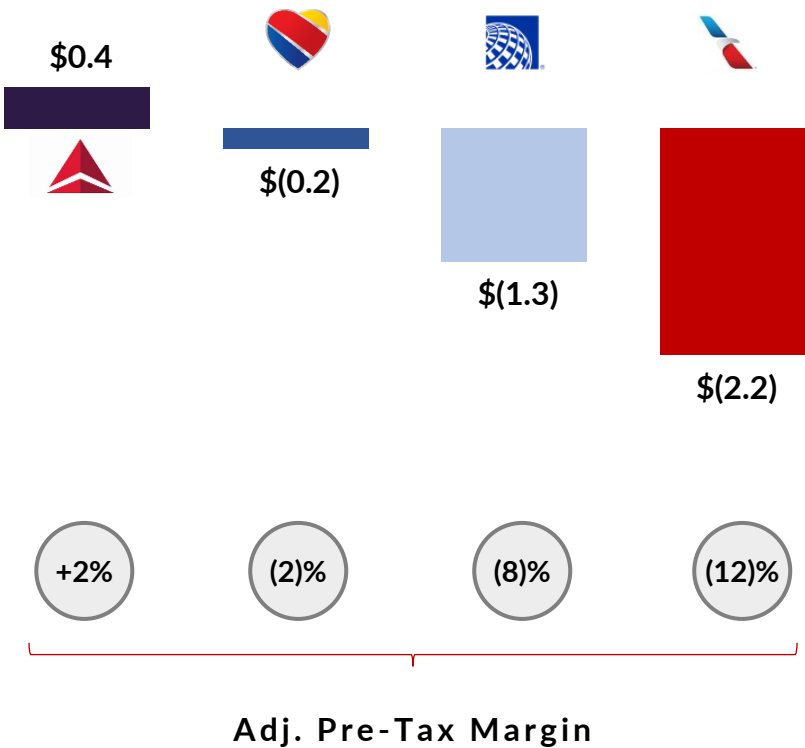
Adj. Non-Fuel Unit Cost (3Q21 TTM)

Non-Fuel CASM¹, US Cents



Adj. Pre-Tax Income (2H21)²

\$ Billions



¹ Reported adjusted Non-Fuel CASM as defined by each carrier

² Reported adjusted 3Q21 pre-tax income and 4Q21E FactSet consensus as of 12/10/21 for UAL, AAL, LUV

Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Well Positioned To Manage Continued Volatility



Approach to Managing Volatility

- ✓ Measured and agile approach to capacity deployment
- ✓ Fleet strategy gives us flexibility to optimize in a changing environment
- ✓ Well positioned to recapture fuel price increases given brand preference and premium strategy
- ✓ Growing high-margin and resilient revenue streams
- ✓ Productivity and efficiency enhancements across the organization



Building Momentum For The Next Phase Of The Recovery

Near-Term Trends

Consumer

- Pent-up demand is evident
- Impact of each variant on demand has been diminishing
- Choppiness continues as international travel restrictions evolve

Business

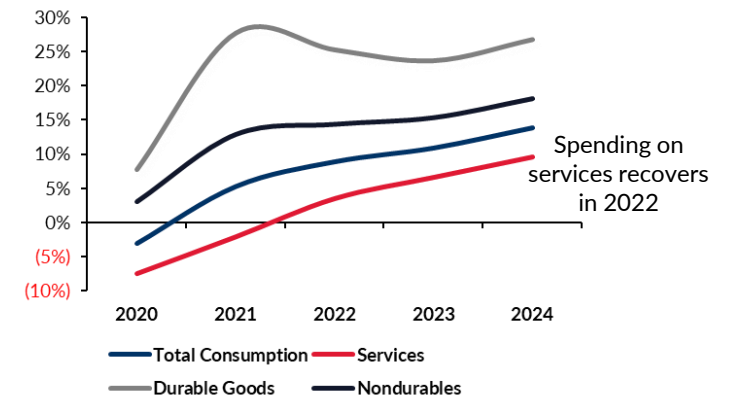
- Recovery tied to return to office
- Small and medium businesses leading the recovery

Medium to Long-Term Trends

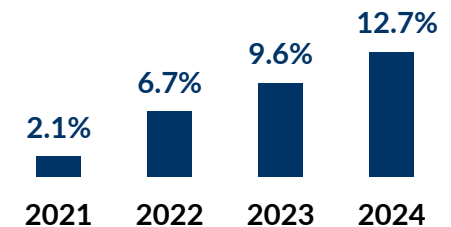
- Healthy economy and record consumer savings rates
- Rising demand for premium brands
- High value leisure emerging as a growing segment
- International demand expected to rebound as travel restrictions lift

- Strong economic growth supports travel demand recovery
- New ways of work promote flexibility and mobility

Consumer Spending vs. 2019¹



US GDP vs. 2019¹



As The Premium Brand Of Choice And With Proven Competitive Advantages, Delta Is Uniquely Positioned As International And Business Demand Continues To Recover



¹ Source: IHS Markit as of 12/6/21

Path To Full Recovery By 2023

Near-Term Financial Priorities

- Achieve sustained and significant profitability and cash generation
 - Grow revenue premium
 - Drive competitive cost structure
- Reduce debt and invest in our people and future

Guidance On Key Metrics

2022E

2023E

Capacity
vs. 2019

~90%

~100%

Non-Fuel
CASM
vs. 2019

Up 7 to 10%

Up Low to Mid
Single Digits

CapEx

~\$6 Billion

~\$5.0 to \$5.5
Billion



2024 Financial Targets And Value Creation Framework

2024 Financial Targets	
Adj. Revenue	>\$50B
Adj. Earnings per Share ¹	>\$7.00
Free Cash Flow	>\$4B
Balance Sheet	Adj. Debt / EBITDAR 2.0 to 3.0x Adj. Net Debt \$15B



Confident In Ability To Improve Financial Results Beyond Record 2019 Levels



¹ Assumes tax rate of 24%, 645 million shares outstanding and fuel price of \$2.20 - \$2.30 per gallon
Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Strategic Priorities On Path To Recovery

Strengthening Our Trusted Consumer Brand

- Continue to prioritize health and safety of our customers
- Invest in the customer experience across the travel ribbon
- Deliver best-in-class operational reliability and service

Restoring Our Financial Performance

- Rebuild scale and drive efficiency
- Deliver mid-teens operating margins and strong operating cash flow
- Reduce debt and return to investment grade metrics

Building A Better Future For Our People And Planet

- Put our people first and invest in their wellness
- Arm our people with technology and data to innovate and deliver for the customer
- Boldly pursue Delta's Flight to Net ZeroSM sustainability commitment and closure of diversity representation gaps

**Our Ambition Is To Transcend The Industry
And Deliver Financial Outcomes That Create Significant Long-Term Value**





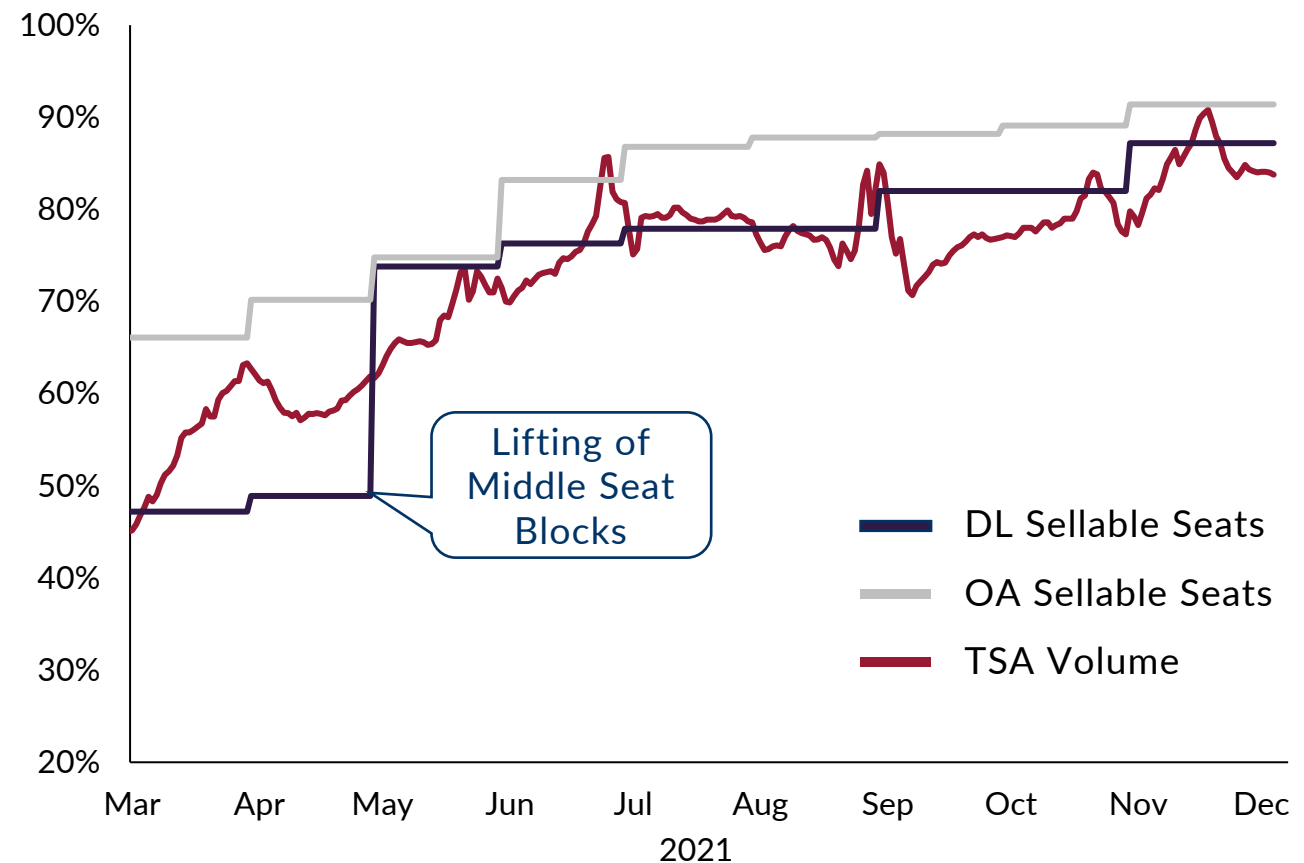
Delta – The Premium Airline Brand

Glen Hauenstein
President

Measured Approach To Managing Demand Environment

- Expect December Quarter 2021 total adjusted revenue to be 74% recovered versus 2019
- Results driven by strong consumer demand around Holidays with yields >2019 levels
- International demand improved post-lifting of 212(f) restrictions
- Near-term bookings slowing in markets with new restrictions due to Omicron
- Measured capacity deployment critical to managing near-term volatility

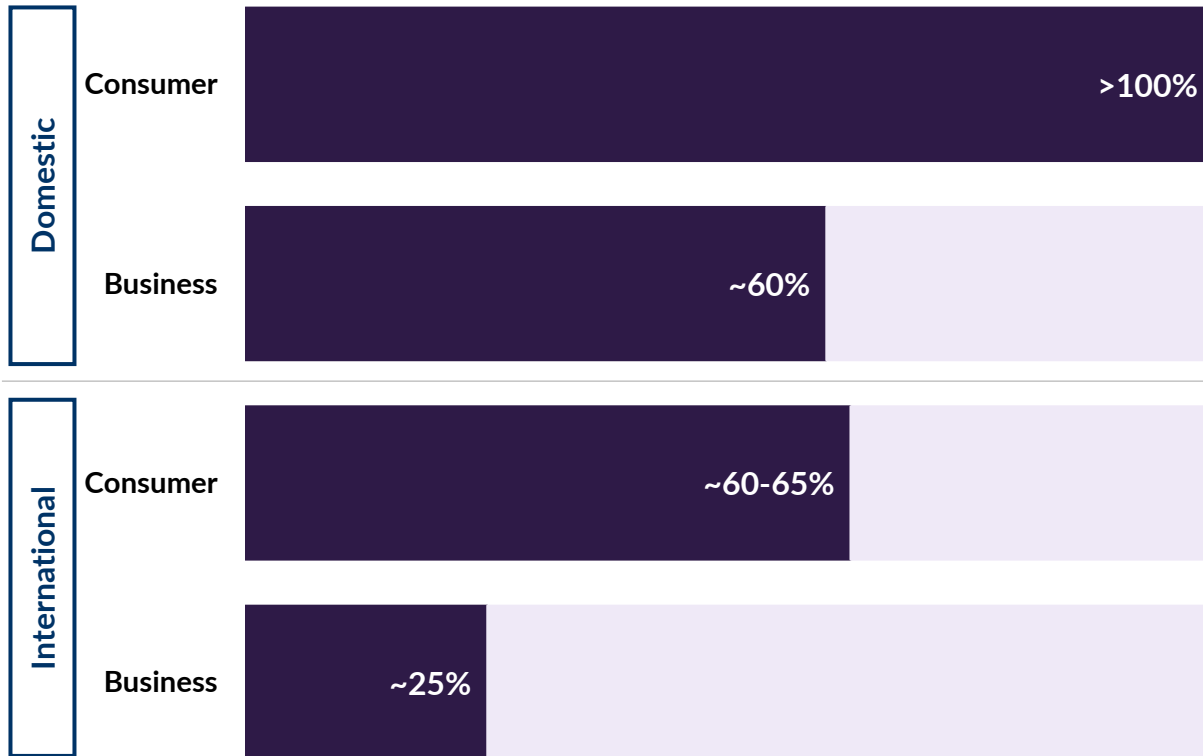
TSA Volume, DAL and OA Capacity vs. 2019¹



¹ Sellable seats defined as monthly capacity, TSA volume uses a 7-day rolling average; OA defined as AAL, UAL, LUV, ALK, JBLU and SAVE
Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Next Phase Of Recovery Driven By Return Of Business And Int'l

2021 Exit Rate¹



- Delta is well positioned to capitalize on a changing demand environment
- Business recovery expected to accelerate in 2022 as offices continue to re-open
- Expect international recovery to continue once restrictions ease with pent-up demand evident



¹ 2021 exit rate is December sold passenger volumes vs. 2019

Extending Our Commercial Advantage

Commercial Strategy Pillars

Investing In Premium Products

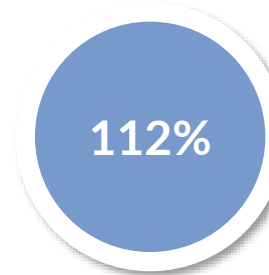
- Premium resilience leading the recovery
- Responding to increasing premium demand
- Driver of high revenue and margin growth

Growing Loyalty Ecosystem

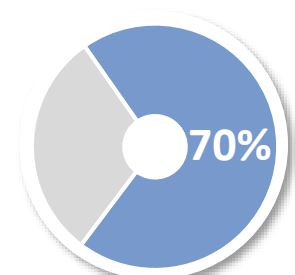
- Providing value proposition to our customers
- Loyal customers exhibit higher engagement
- Loyal customers spend more on Delta

Increasing Revenue Diversification

- Proven resilience through the pandemic
- Enabler of sustained revenue premium
- Leverage the Delta platform



Total unit revenue premium vs. peers¹



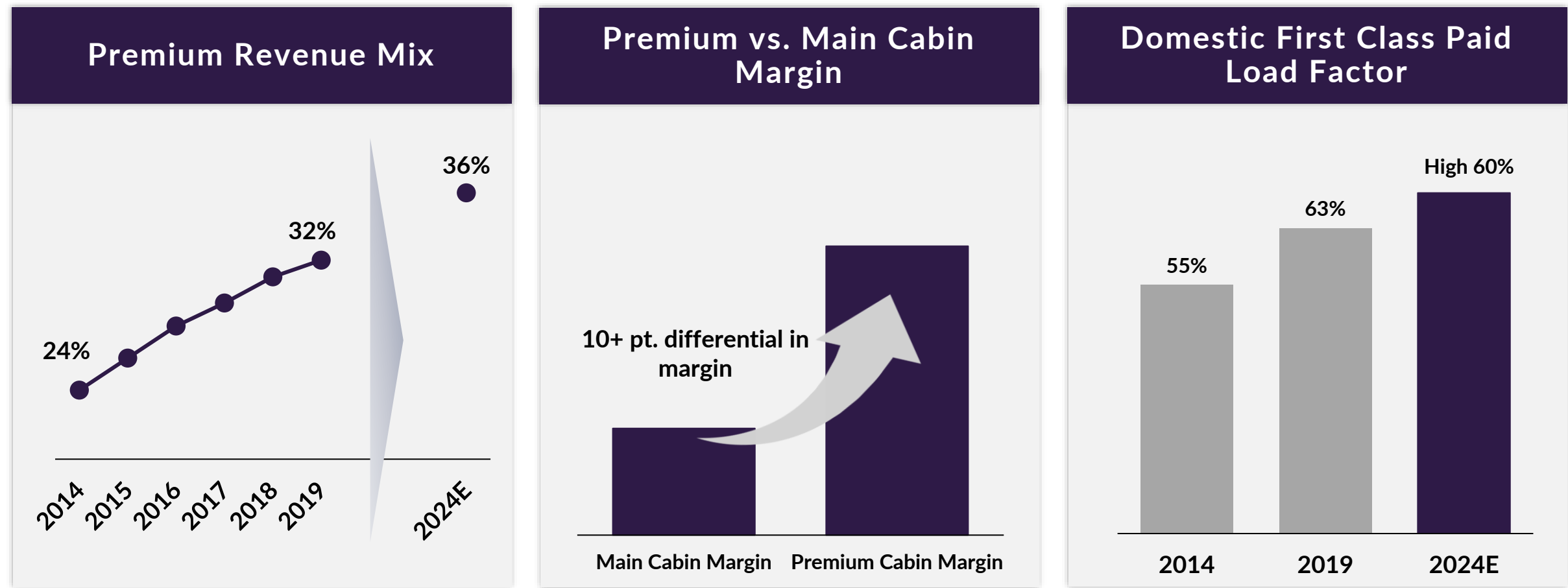
Repeat buyers of premium product

**Building On Multi-Year Efforts To Extend Our Advantages
Positions Delta As The Global Industry Leader**



¹ 3Q21; peer group defined as AAL, UAL, LUV, ALK and JBLU
Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

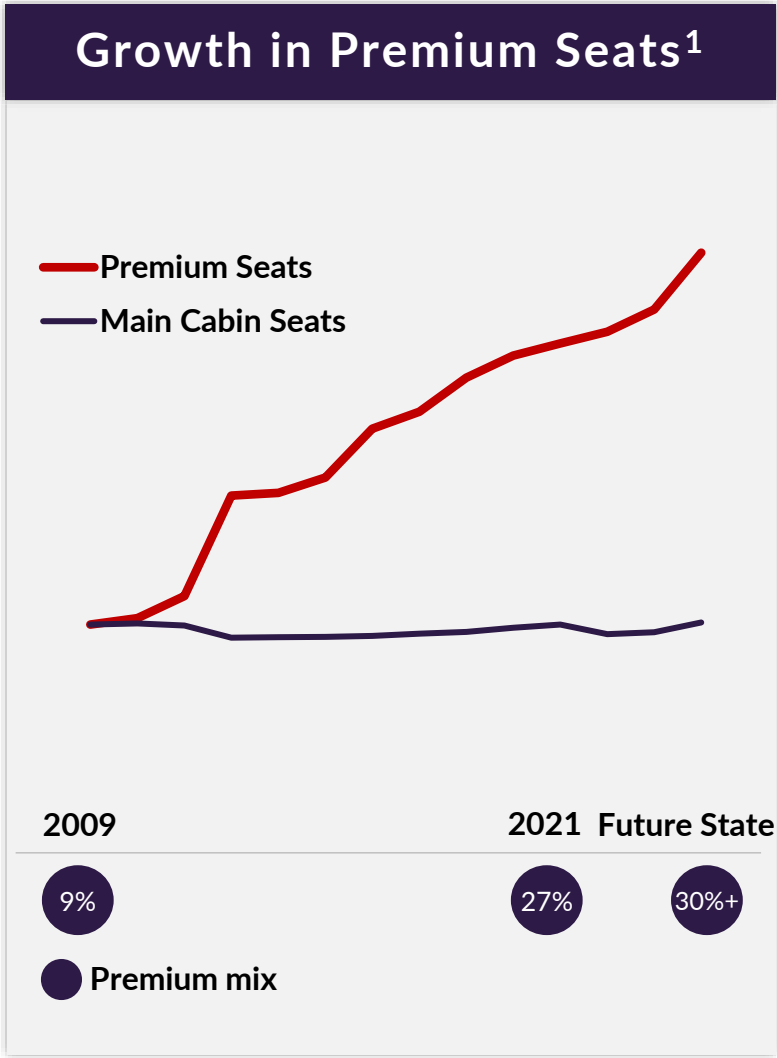
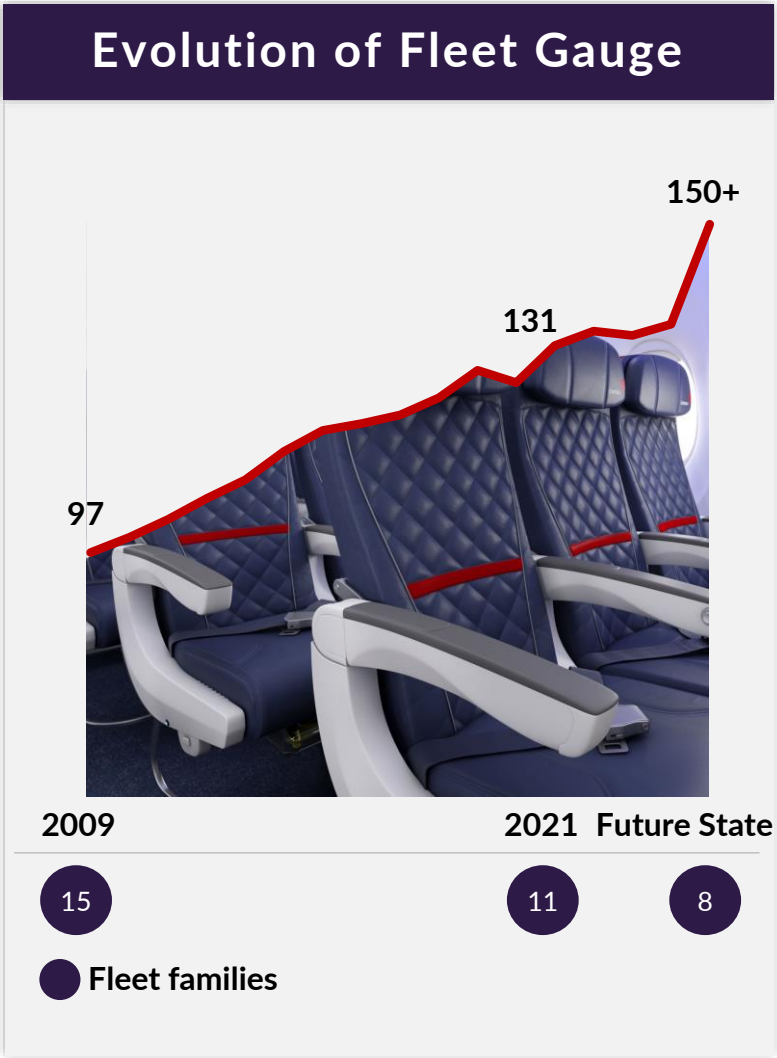
Demand For Premium Product Propels Our Strategy



Premium Product Resilience Has Led Us Through The Recovery



Fleet Transformation Driving Efficiency And Elevating The Product



¹ Count of premium and main cabin seats, indexed to 100 in 2009

Investing In The Customer Experience Across The Travel Ribbon



**An Elevated Customer Experience Enabled By The Best People In The Industry
Creates Higher Engagement With The Delta Brand**



Growing Our Loyalty Base Drives High-Margin Revenue

1 Grow Membership And Personalize Engagement

- Generating record SkyMiles acquisitions
- Achieving record downloads of Fly Delta app

2 Make SkyMiles Currency More Valuable

- Extending status and benefits
- Partnering with premier brands like Lyft and Airbnb

5 Accelerate High-Margin Revenue

- Investing in acquisition of Co-Brand cardholders
- Partnering with American Express to target small and medium businesses by leveraging SkyBonus program

3 Deliver Exceptional Service

- SkyMiles awarded #1 spot among global airlines in U.S. News & World's Report ranking of loyalty programs in 2021
- Investing in new Delta Sky Club lounges

4 Achieve "Most Valuable Co-Brand Card"

- Powerful partnership with Amex
- Co-Brand acquisitions recovered to 2019 levels as of November
- Co-Brand spend in excess of 2019 levels



The Power Of The Delta And American Express Partnership

Growth Opportunity

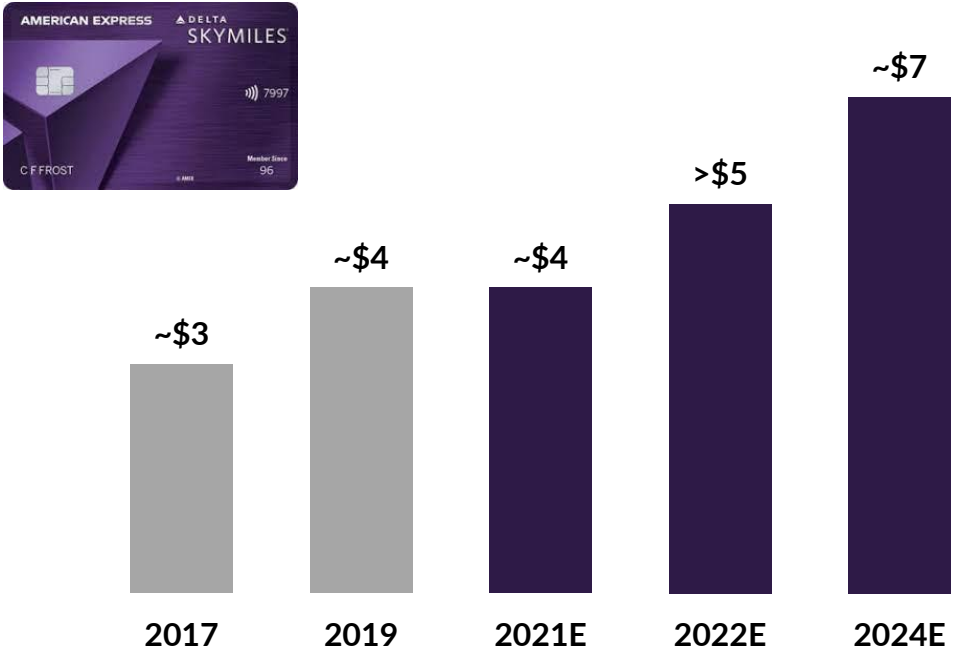
 Less than 1/3 of our SkyMiles members have a Co-Brand credit card

Profile Of Co-Brand Cardholders

 Trips / Year ~ 6

Avg. Spend vs. Non-Member ~ 4-5x

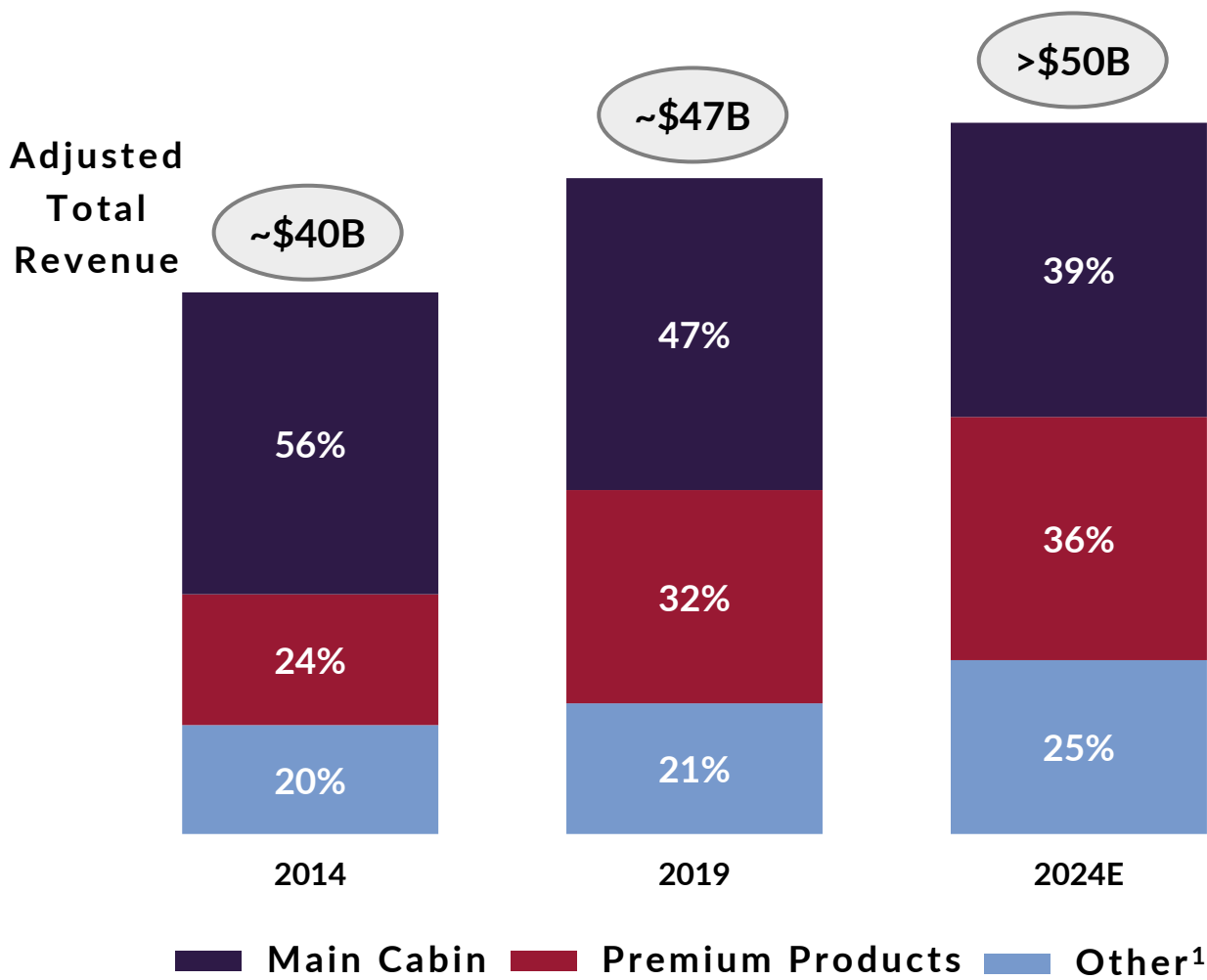
Delta-American Express Contribution (\$B)



Higher Contribution Primarily Driven By Accelerating Acquisitions And Strong Spend Growth



Leveraging Our Platform To Expand Our Revenue Ecosystem



Growth Opportunities	
	Loyalty: Investing in product, marketing and capabilities accelerates loyalty revenue growth
	Cargo: Leverage growing widebody capacity while increasing share of premium product
	MRO: Increasing engine volume with expansion of component line of business under long-term contracts
	Other Travel Revenue: Growing other revenue through expanded Delta Vacations packages, gift cards, car rentals, hotels and trip insurance



¹ Includes loyalty program, MRO and other ancillary, cargo, and travel-related services
Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Leveraging Strengths Of Our Industry-Leading Domestic Network



Core Hubs

- Strong local passenger share
- High penetration of Delta loyalists
- Competitive cost position
- Extending gauge lead, driving efficiency



Coastal Hubs

- Presence in large revenue markets
- Growing relevance in international gateways
- Elevating the customer experience by accelerating airport projects
- Deploying newest aircraft and products

**Core Hubs Are Our Economic Engine Driving Industry-Leading Profitability
And Coastal Hubs Are Enablers Of Premium And International Growth**



Unmatched Scale And Opportunity In International

Strong Delta Foundation

Growing brand preference, strong relevance in Domestic markets and improving coastal presence

Renewed Widebody Fleet

Next-Gen aircraft with full suite of products, enhanced cargo capability and fuel efficiency

Structural Change To Landscape

More rational landscape in all international entities

Stronger Partners And Unique JV Structure

Partners that will emerge from restructuring in a stronger position

Significant International Margin Upside vs. 2019





Building A Global Future

Alain Bellemare

President - International

Best International Platform For Long-Term Profitable Growth

The #1 Global Network

Transatlantic



#1 North America
To Europe JV¹

AIRFRANCE KLM
GROUP

virgin atlantic

Americas



#1 Mexico and South
American JVs¹

AEROMEXICO

LATAM
AIRLINES

WESTJET

Pacific



#1 Transpacific JV
Hub In Seoul²

KOREAN AIR

中國東方航空
CHINA EASTERN



¹ Based on 2019 ASMs to/from U.S.; LATAM JV pending regulatory approval

² Based on connectivity to Southeast Asia (2019)

World's Leading Equity Partner Portfolio

Best-in-Class Partners

Atlantic

AIRFRANCEKLM
GROUP

Gold Standard JV in
Transatlantic

virgin atlantic 

Critical Access
to UK

Americas

 **LATAM**
AIRLINES

Premier South
American Franchise

 **AEROMEXICO.**

Largest U.S. –
Mexico JV

Pacific

KOREAN AIR

World-Class
Gateway to Asia

 **中國東方航空**
CHINA EASTERN

Valuable Shanghai &
Beijing Access

Emerging Stronger



Structural Cost
Reduction



Revamped
Fleet



Improved
Balance Sheet

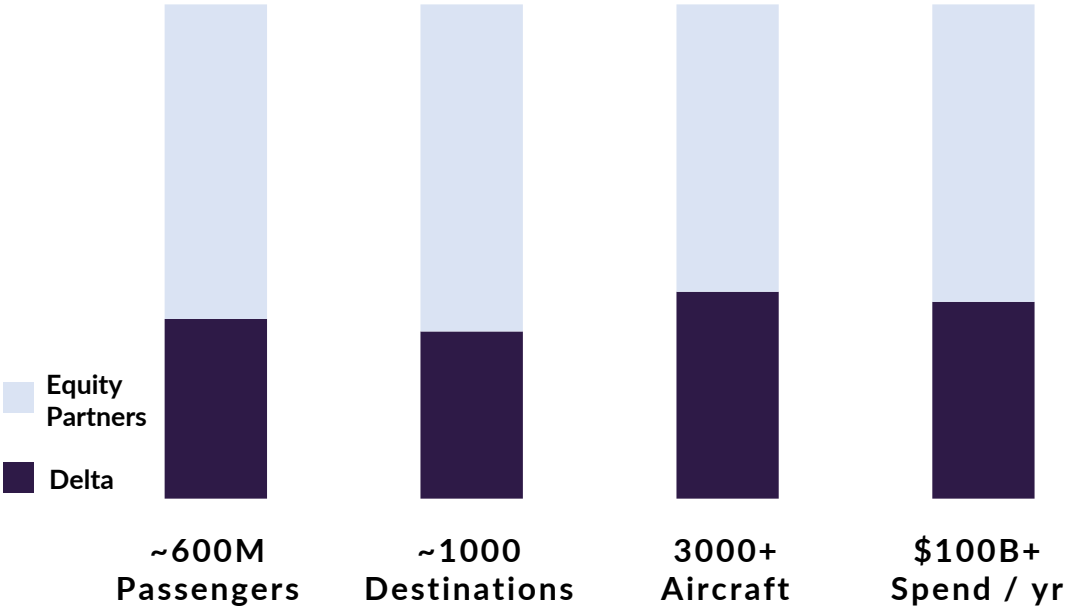


Strengthened
Competitive
Position



Unique Equity Strategy Unlocks Synergy Opportunities

Impressive Global Scale 2019 Portfolio Equivalent To 3x Delta's Size



Joint Scale Drives Synergy Opportunities



Seamless Customer Experience



Enhanced Loyalty Offering



Strategic Sourcing / Investment



Ancillary Businesses (MRO / Cargo)



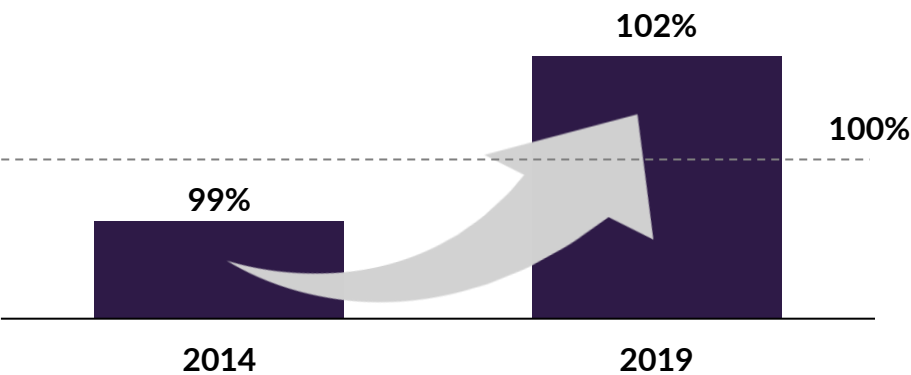
Sustainability and Innovation



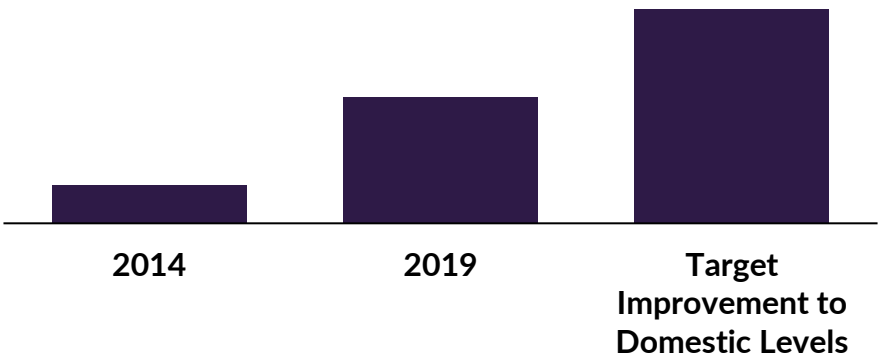
International Margins Will Continue To Expand

Value Evolution Over Time

Delta's International PRASM Index



Delta's International Margin Growth



Margin Growth Drivers



Premier Global Hub Structure



Premium Product Expansion



Renewed Next-Gen Fleet



Strong Partner Portfolio



Improved Competitive Landscape



Equity Enhanced Value





Creating Long-Term Value

Dan Janki

Chief Financial Officer

Financial Priorities For Value Creation

- 1 Cost Performance** Efficiently rebuild the airline, capture fleet renewal benefits and drive operating leverage to produce a competitive cost structure
- 2 Cash Generation** Unit revenue premium and competitive cost structure expected to drive industry-leading margins and strong operating cash flow
- 3 Capital Allocation** Reduce adjusted net debt to \$15 billion by 2024 while strategically reinvesting for growth and productivity

Produce Mid-Teens Return on Invested Capital



Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

2024 Financial Targets

2024 Financial Targets

Adj. Revenue	>\$50B
Adj. Earnings per Share ¹	>\$7.00
Free Cash Flow	>\$4B
Balance Sheet	\$15B Adj. Net Debt Investment Grade Metrics

2024 Metrics And Assumptions

- Capacity 100%+ vs. 2019 - Healthy growth in diverse revenue
- Non-Fuel CASM² up low-single digits vs. 2019 - Operating Margin in Mid Teens
- Operating cash flow >\$9 billion - CapEx of ~\$4.5 to \$5 billion
- Adj. Debt / EBITDAR of 2.0x to 3.0x - Fully-funded pensions on GAAP basis

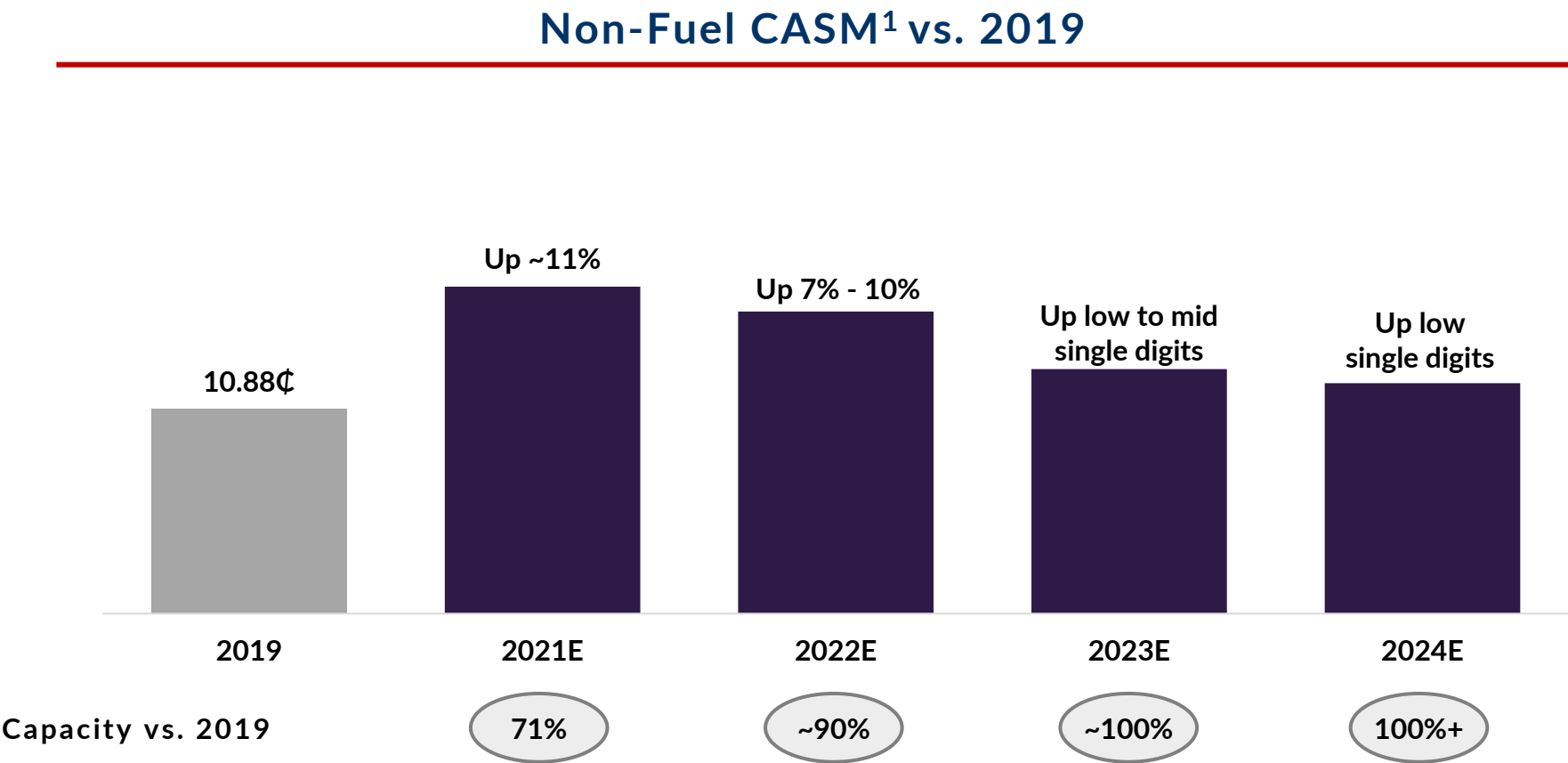


¹ Assumes tax rate of 24%, 645 million shares outstanding and fuel price of \$2.20 - \$2.30 per gallon

² Non-Fuel CASM excludes fuel and profit-sharing expense, includes ancillary business expense

Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Progression Of Non-Fuel Unit Costs



¹ Non-Fuel CASM excludes fuel and profit-sharing expense, includes ancillary business expense
Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Non-Fuel Cost Framework And Drivers

		Non-Fuel CASM Impact vs. 2019		
		2021E	2022E	2024E
Transition	Costs required to re-build and restore our network and operation	~4 pts	~1-2 pts	~Flat
Underlying Business	Scale, fleet-related, maintenance, suppliers and Delta workforce	~6 pts	~5-6 pts	~(1) pt
Investments	Investments support elevated customer experience, premium brand focus and growth in diverse revenue streams	~1 pt	~1-2 pts	~3 pts
Non-Fuel CASM vs. 2019		Up ~11%	Up 7-10%	Up low-single digits
Capacity vs. 2019		71%	~90%	100%+

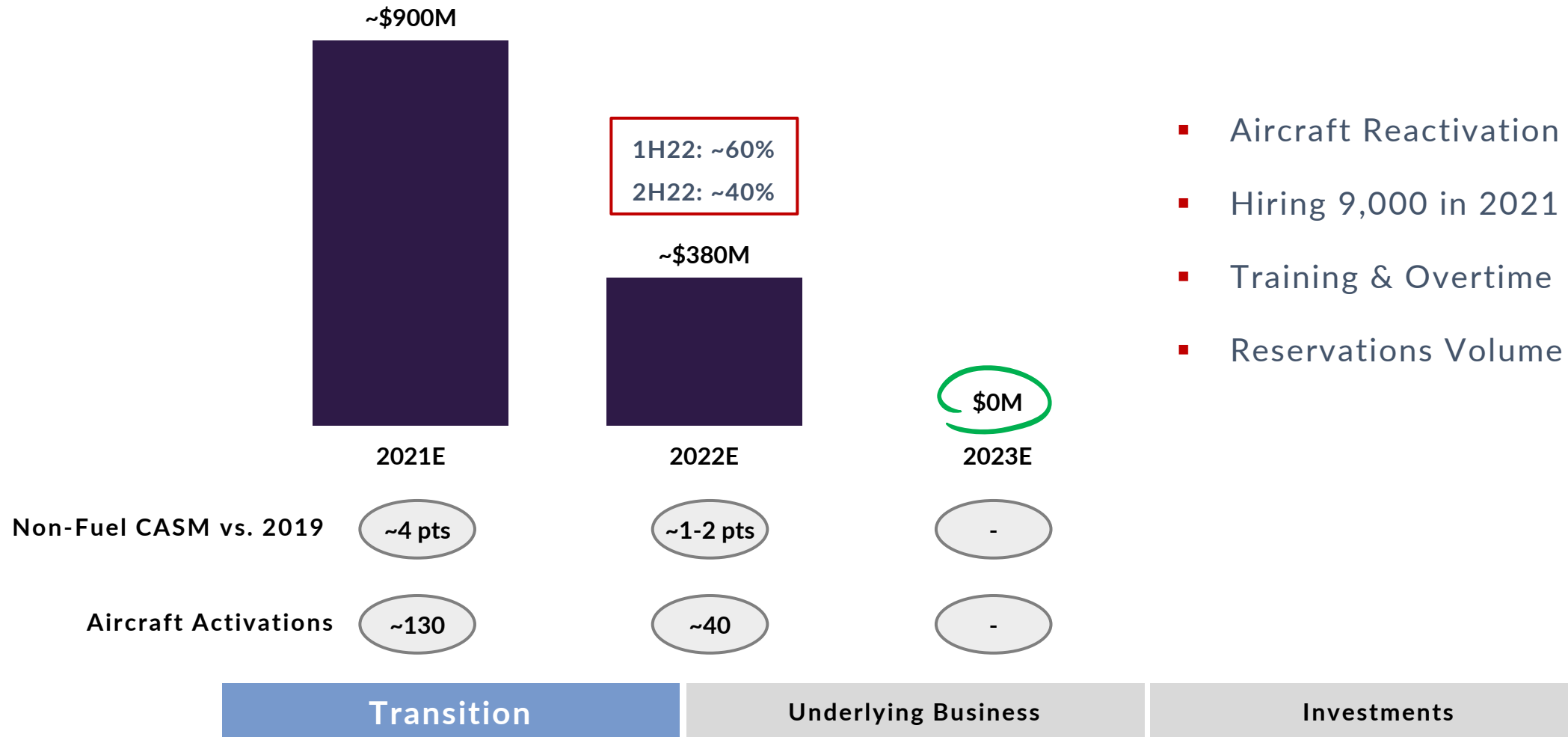
Underlying Business Returns To 2019 Non-Fuel CASM Levels
By 2024 On Improved Scale And Efficiency



Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Transition Costs Moderate As We Approach 2019 Scale

Recovery-Related / Transition Costs and Drivers



Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Multiple Factors Impacting Underlying Business

		Non-Fuel CASM Impact vs. 2019		
		2021E	2022E	2024E
Scale	Impact of capacity, asset utilization, efficiency, entity mix and selling-related expense	~13 pts	~4 pts	~(4) pts
Fleet-Related	Upgauging and simplification savings	~(1) pts	~(1) pts	~(2) pts
Maintenance	Mainline and regional fleet maintenance, including parts and labor	~(7) pts ¹	~1 pt	~1 pt
Suppliers & Delta Workforce	Inflation, wage and benefit increases offset by centralized procurement and voluntary departure and retirement program	~1 pt	~1-2 pts	~4 pts
Underlying Business Non-Fuel CASM vs. 2019		~6 pts	~5-6 pts	~(1) pt

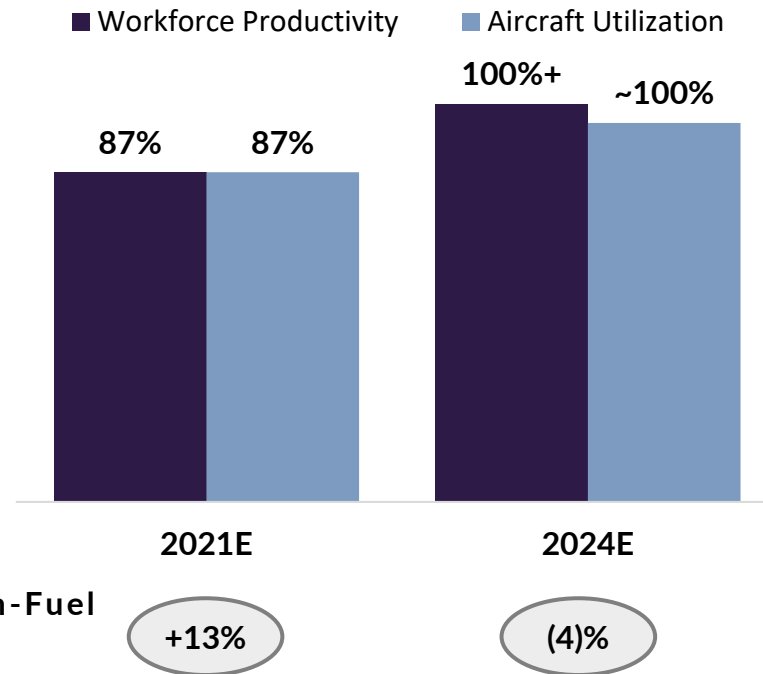
Transition	Underlying Business	Investments
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¹ 2021 Maintenance CASM 7% below 2019 due to depressed flying levels during the pandemic, transition to 2019 level in 2022 as flying increases
 Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Driving Operating Leverage And Efficiency As We Scale

Improving Efficiency¹



- As we rescale, we will drive operating leverage on fixed costs and improve efficiency across our workgroups
- Scale and efficiency expected to inflect to tailwind vs. 2019 as capacity is fully restored and assets are utilized

Transition

Underlying Business

Investments

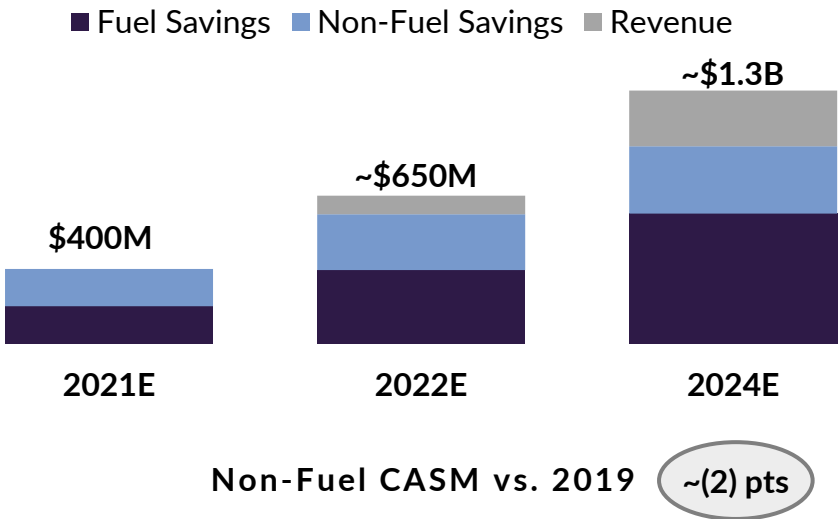


¹ Workforce productivity defined as ASMs/FTEs vs. 2019; Aircraft utilization defined as block hour/aircraft vs. 2019
Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Fleet Transformation Drives Significant Multi-Year Benefit

- Premium seat growth continuing to outpace main cabin
- Expect 2024 gauge to be 6 points higher than 2019
- Expect 2024 fuel efficiency to be 8% better than 2019¹

Driving Significant Value vs. 2019



Benefits Of Accelerated Fleet Renewal
Superior Onboard Product | Better Margins | Lower Emissions

Transition

Underlying Business

Investments



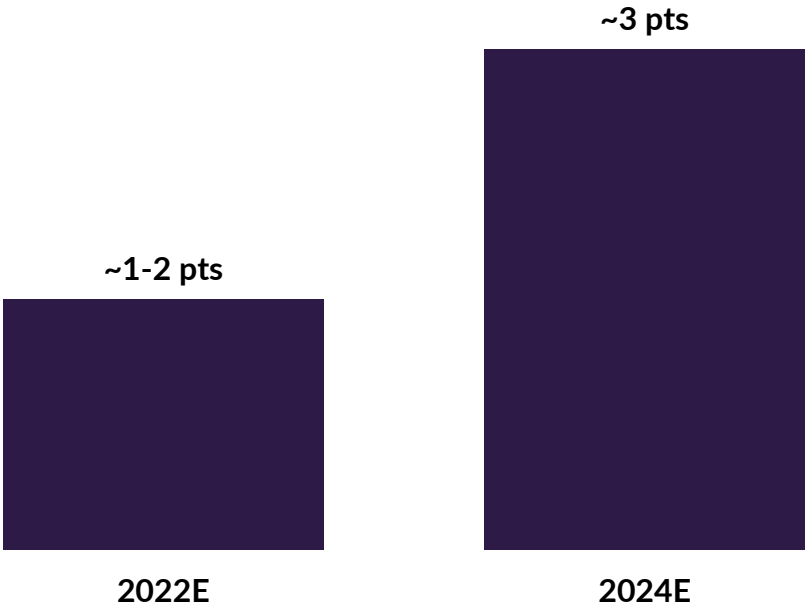
¹ Fuel efficiency defined as gallons per ASM
Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Investing In The Customer Experience And Diversifying Revenue

Investment Drivers

Airport Facilities	Accelerated redevelopment of key airports to improve customer experience, operations and market position
Clean	Industry-leading cleanliness standards through Global Clean organization
Technology	Modernization and improved automation drive efficiency and enhanced experience
Diverse Revenue Streams	Investing to support revenue growth in MRO and Cargo

Non-Fuel CASM Impact From Investments vs. 2019

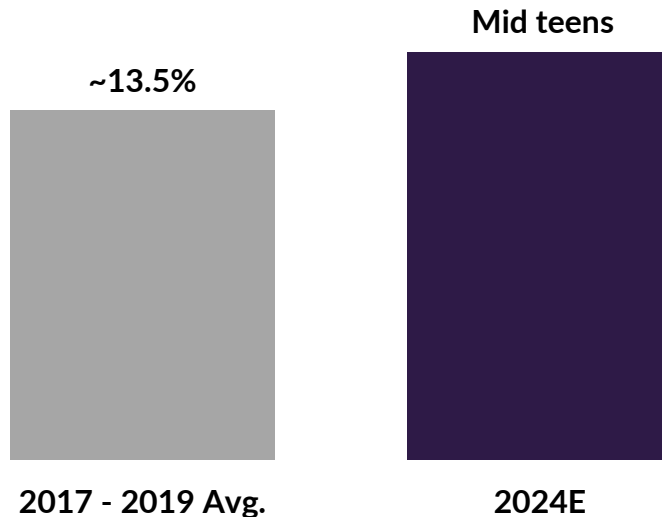


Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

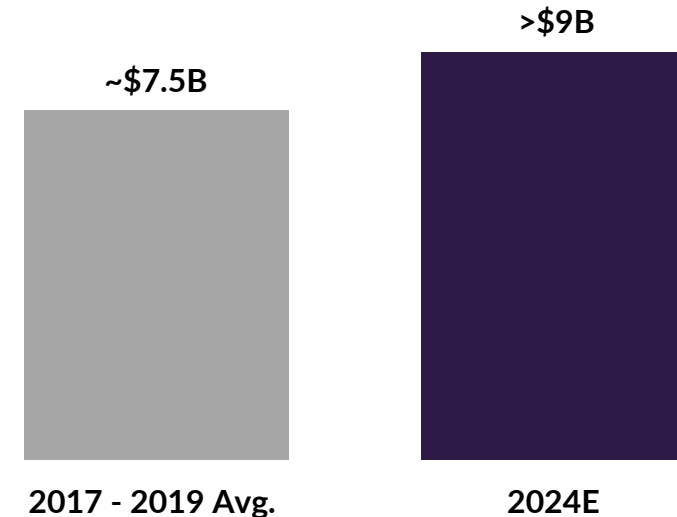
Margin And Cash Flow Focus Underpins Our Financial Success

- Measured capacity, premium focus and increasing revenue diversity support growing unit revenue premium
- Focused on driving competitive cost structure to support industry-leading margins
- Growing American Express contribution and unique international upside opportunities support higher margins and operating cash flow

Operating Margin



Operating Cash Flow



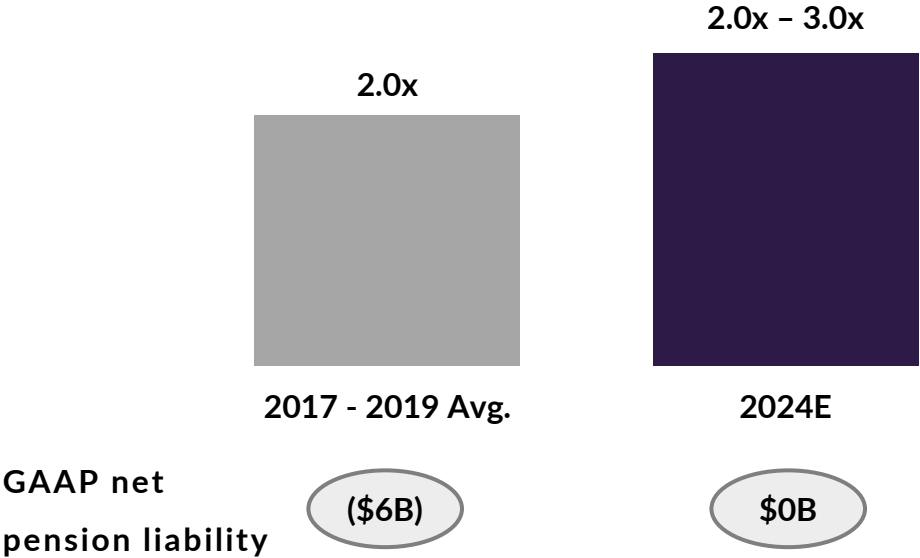
Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Restoring Our Balance Sheet

Adj. Net Debt



Adj. Debt/EBITDAR



No Equity Dilution During The Pandemic Enables Shareholders To Fully Participate In Upside

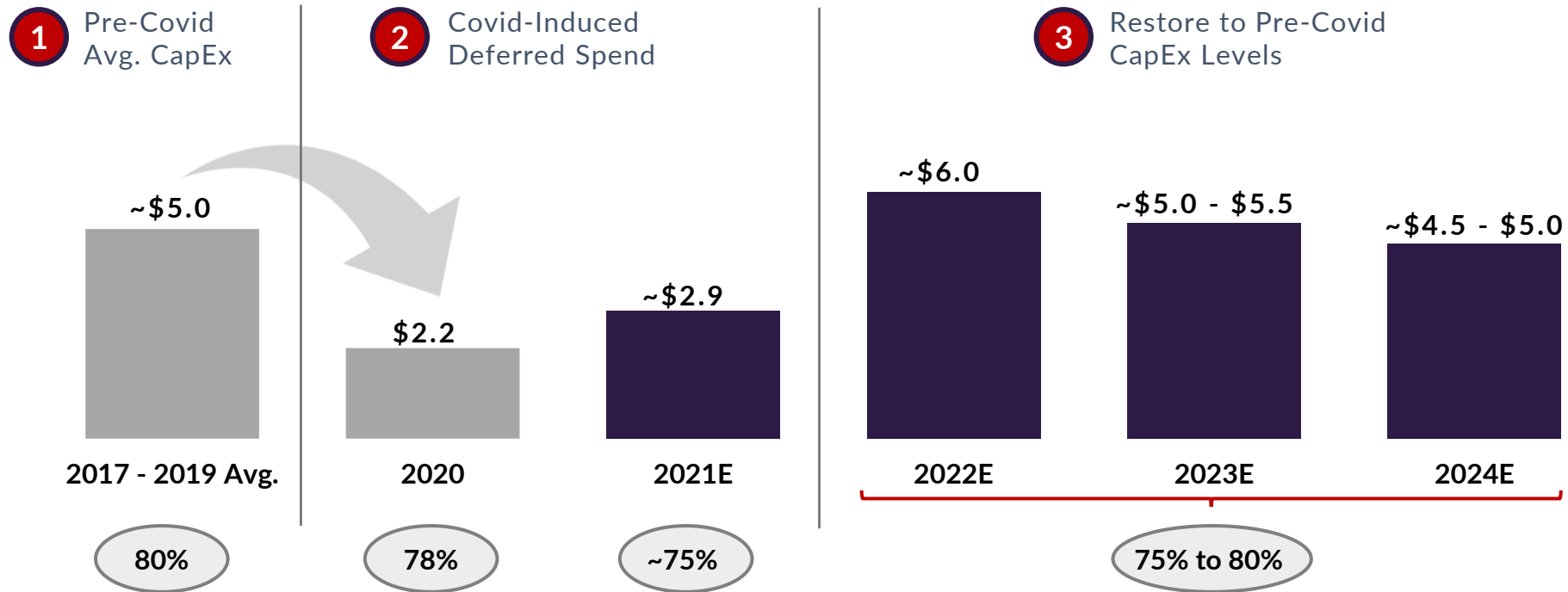


¹ Liquidity includes cash and cash equivalents, short-term investments and undrawn revolving credit facilities
Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Strategically Investing To Extend Our Leadership Position

Gross Capital Expenditures

\$Billions



% Aircraft /
Mods CapEx



Note: Adjusted for special items; non-GAAP financial measures reconciled in Appendix

Maintaining Flexibility And Remaining Nimble Through Recovery

Approach to Managing Volatility

- ✓ Measured and agile approach to capacity deployment
- ✓ Fleet strategy gives us flexibility to optimize in a changing environment
- ✓ Well positioned to recapture fuel price increases given brand preference and premium strategy
- ✓ Growing high-margin and resilient revenue streams
- ✓ Productivity and efficiency enhancements across the organization

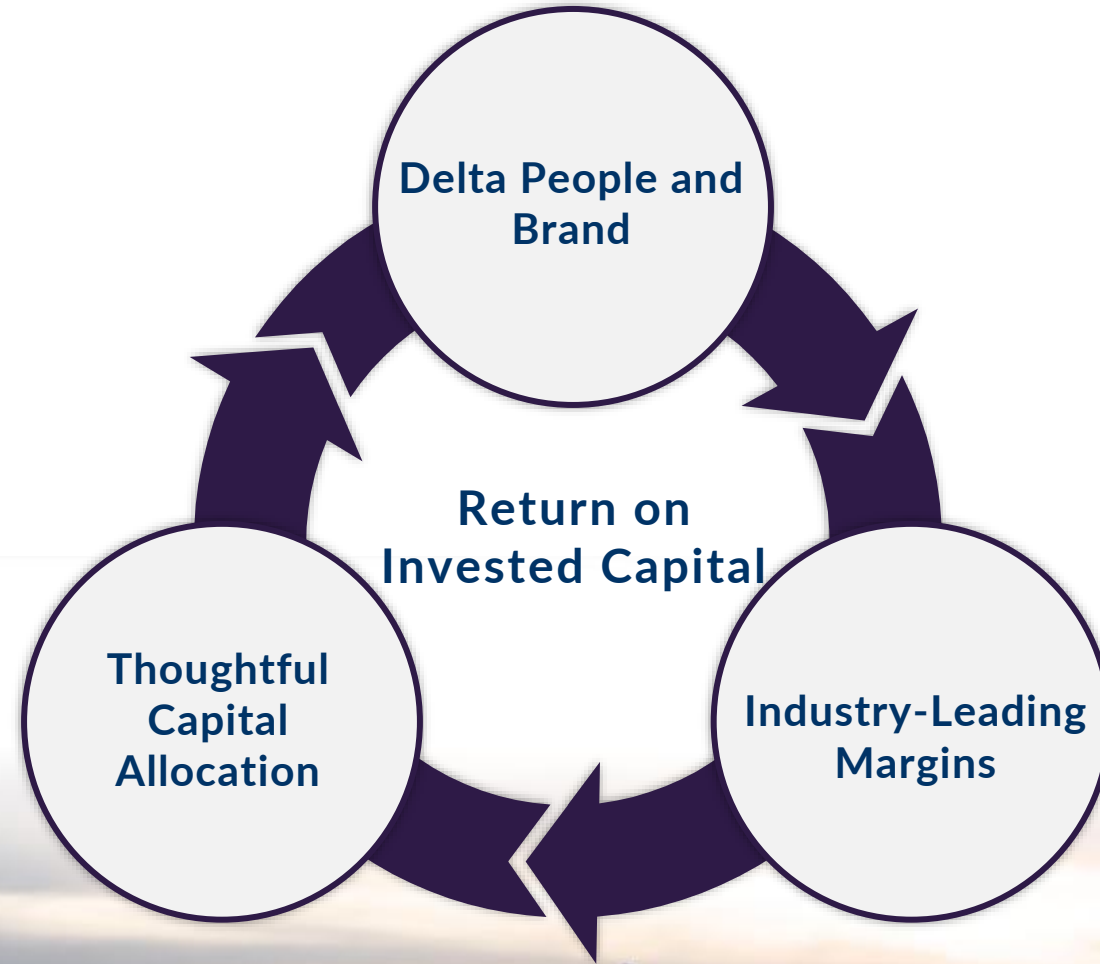
- Fleet flexibility is our largest lever
- Flex fleets, aircraft utilization and network deployment are levers to rebalance capacity
 - We have >150 flex fleet aircraft across 767-300s, 717s, CRJ200s that can flex capacity up or down
- Paying cash for aircraft to rebuild unencumbered asset base to ~\$20 Billion by 2023¹



¹ Includes aircraft, spare parts, engines and additional borrowing capacity

Value Creation Framework

Positioned To Deliver Industry-leading Margins And Return To Investment Grade Metrics



Five Key Takeaways

1

Competitive Advantages

Delta's actions during the pandemic further strengthened its competitive advantages and enhanced its position as a **trusted consumer brand**

2

Industry Leadership

Delta is **leading the industry operationally** and financially by demonstrating agility, operational excellence and discipline

3

Brand Preference

Delta continues to **elevate the customer experience** through its best-in-class service and by investing across the travel ribbon, enhancing brand preference and loyalty

4

Earnings Power

Delta expects to deliver **meaningful profitability in 2022** on its path to improved earnings power beyond pre-pandemic levels by 2024

5

Financial Foundation

Delta's top financial priority is restoring its financial foundation, with a focus on efficiency and cash generation to **achieve investment grade metrics by 2024**



The Power Of The DAL / AXP Partnership

CEO Fireside Chat

Ed Bastian, Chief Executive Officer
Delta Air Lines

Stephen Squeri, Chairman and Chief Executive Officer
American Express



Non-GAAP Financial Measures

Delta sometimes uses information ("non-GAAP financial measures") that is derived from the Consolidated Financial Statements, but that is not presented in accordance with accounting principles generally accepted in the U.S. ("GAAP"). Under the U.S. Securities and Exchange Commission rules, non-GAAP financial measures may be considered in addition to results prepared in accordance with GAAP, but should not be considered a substitute for or superior to GAAP results. The tables below show reconciliations of non-GAAP financial measures used in this update to the most directly comparable GAAP financial measures. Reconciliations may not calculate due to rounding.

While we are able to reconcile forward looking non-GAAP financial measures related to 2021, we do not reconcile future period measures (i.e., beyond 2021) because the adjusting items such as those used in the reconciliations below will not be known until the end of the indicated future periods and could be significant.



Non-GAAP Financial Measures

Pre-Tax Income, adjusted and Pre-Tax Margin, adjusted. In the current period, pre-tax income, adjusted and pre-tax margin, adjusted exclude the following items directly related to the impact of COVID-19 and our response for comparability with the prior period:

- *Government grant recognition.* We recognized \$1.8 billion of the grant proceeds from the payroll support program extensions as contra-expense during the September quarter 2021. We recognized the grant proceeds as contra-expense based on the periods that the funds were intended to compensate and fully used all proceeds from the payroll support program extensions as of the end of the September quarter 2021.
- *Impairments and equity method losses.* These adjustments relate to recording our share of the losses recorded by our equity method investees.
- *Loss on extinguishment of debt.* This adjustment relates to the early termination of a portion of our debt.

We also regularly adjust pre-tax income and pre-tax margin for the following item to determine pre-tax income, adjusted and pre-tax margin, adjusted for the reason described below:

- *MTM adjustments on investments.* Unrealized gains/losses result from our equity investments that are accounted for at fair value in non-operating expense. These gains/losses are driven by changes in stock prices, other valuation techniques for investments in companies without publicly-traded shares and foreign currency fluctuations. Adjusting for these gains/losses allows investors to better understand and analyze our core operational performance in the periods shown.

	Pre-Tax Income (Projected)	Pre-Tax Margin (Projected)
	Six Months Ended	Six Months Ended
(in billions, except margin data)	December 31, 2021	December 31, 2021
GAAP	\$ ~1.2	~6%
Adjusted for:		
Government grant recognition	~(1.8)	~(10%)
Impairments and equity method losses	~0.3	~2%
Loss on extinguishment of debt	~0.2	~1%
MTM adjustments on investments	~0.5	~3%
Non-GAAP	\$ ~0.4	~2%



Non-GAAP Financial Measures

Non-Fuel Unit Cost or Cost per Available Seat Mile, adjusted ("CASM-Ex"). In the current period, CASM-Ex excludes the following items directly related to the impact of COVID-19 and our response: restructuring charges, as discussed below, and government grant recognition, as discussed above under the heading pre-tax income, adjusted.

- *Restructuring charges.* During 2020, we recorded restructuring charges for items such as fleet impairments and voluntary early retirement and separation programs following strategic business decisions in response to the COVID-19 pandemic. During 2021, we recognized adjustments to certain of those restructuring charges, representing changes in our estimates.

We also regularly adjust CASM for the following items to determine CASM-Ex for the reasons described below:

- *Aircraft fuel and related taxes.* The volatility in fuel prices impacts the comparability of year-over-year financial performance. The adjustment for aircraft fuel and related taxes allows investors to understand and analyze our non-fuel costs and year-over-year financial performance.
- *Third-party refinery sales.* We adjust for refinery sales to third parties because this activity is not related to our airline segment. CASM-Ex therefore provides a more meaningful comparison of CASM from our airline operations to the rest of the airline industry.
- *Profit sharing.* We adjust for profit sharing because this adjustment allows investors to better understand and analyze our recurring cost performance and provides a more meaningful comparison of our core operating costs to the airline industry.
- *Delta Private Jets adjustment.* Because we combined Delta Private Jets with Wheels Up in January 2020, we have excluded the impact of Delta Private Jets from 2019 results for comparability.

(in cents)	Year Ended		Trailing Twelve
	(Projected)		Months Ended
	December 31, 2021	December 31, 2019	September 30, 2021
CASM	~14.30	14.67	13.18
Adjusted for:			
Restructuring charges	-	-	(0.23)
Government grant recognition	~2.30	-	3.27
Aircraft fuel and related taxes	~(2.85)	(3.10)	(2.67)
Third-party refinery sales	~(1.70)	(0.04)	(1.47)
Profit Sharing	-	(0.60)	-
Delta Private Jets adjustment	-	(0.06)	-
CASM-Ex	~12.05	10.88	12.09



Non-GAAP Financial Measures

Total Revenue, adjusted and Total Unit Revenue Per Available Seat Mile ("TRASM"), adjusted. We adjust total revenue and TRASM for third-party refinery sales and the impact of Delta Private Jets for the reasons described above under the heading CASM-Ex.

(in billions)	Three Months Ended		Year Ended	
	(Projected)			
	December 31, 2021	December 31, 2019	December 31, 2019	December 31, 2014
Total revenue	\$ ~9.6	\$ 11.4	\$ 47.0	\$ 40.4
Adjusted for:				
Third-party refinery sales	~(1.2)	(0.0)	(0.1)	-
Delta Private Jets adjustment	-	(0.1)	(0.2)	-
Total revenue, adjusted	\$ ~8.4	\$ 11.4	\$ 46.7	\$ 40.4

(in cents)	Three Months Ended	
	September 30, 2021	
TRASM	\$	16.93
Adjusted for:		
Third-party refinery sales		(1.61)
TRASM, adjusted	\$	15.31



Non-GAAP Financial Measures

Operating Margin, adjusted. We adjust operating margin for MTM adjustments and settlements on hedges for the reason described below. We adjust for third-party refinery sales for the reason described above under the heading CASM-Ex.

- *MTM adjustments and settlements on hedges.* Mark-to-market ("MTM") adjustments are defined as fair value changes recorded in periods other than the settlement period. Such fair value changes are not necessarily indicative of the actual settlement value of the underlying hedge in the contract settlement period. Settlements represent cash received or paid on hedge contracts settled during the applicable period.

	Year Ended			Average
	December 31, 2019	December 31, 2018	December 31, 2017	
Operating margin	14.1%	11.8%	14.5%	13.5%
Adjusted for:				
MTM adjustments and settlements on hedges	0.0%	(0.1)%	(0.6)%	(0.2)%
Third-party refinery sales	0.1%	0.2%	0.2%	0.2%
Operating margin, adjusted	14.2%	11.9%	14.0%	13.4%



Non-GAAP Financial Measures

Operating cash flow, adjusted. We present operating cash flow, adjusted because management believes adjusting for the following items provides a more meaningful measure for investors:

- *Hedge deferrals, including early settlements.* During the March 2015 quarter, we effectively deferred settlement of a portion of our fuel hedge portfolio by entering into transactions that, excluding market movements from the date of inception, would provide approximately \$300 million in cash receipts during the second half of 2015 and require approximately \$300 million in cash payments in 2016. During the March 2016 quarter, we further deferred settlement of a portion of our hedge portfolio until 2017 by entering into transactions that, excluding market movements from the date of inception, would provide approximately \$300 million in cash receipts during the second half of 2016 and require approximately \$300 million in cash payments in 2017. Operating cash flow is adjusted to include the impact of these deferral transactions in order to allow investors to better understand the net impact of hedging activities in the periods shown.
- *Reimbursements from third parties related to build-to-suit facilities and other.* Management believes investors should be informed that these reimbursements for build-to-suit leased facilities effectively reduce net cash provided by operating activities and related capital expenditures.
- *Pension plan contribution.* In 2017, we contributed \$2 billion to our pension plans using net proceeds from our debt issuance. We adjusted operating cash flow to exclude this contribution to allow investors to understand the cash flows related to our core operations in the periods shown.

(in billions)	Year Ended			Average
	December 31, 2019	December 31, 2018	December 31, 2017	
Net cash provided by operating activities	\$ 8.4	\$ 7.0	\$ 5.0	\$ 6.8
Adjusted for:				
Hedge deferrals, including early settlements	—	—	(0.2)	(0.1)
Reimbursements from third parties related to build-to-suit leased facilities and other	0.1	(0.1)	—	—
Pension plan contribution	—	—	2.0	0.7
Net cash provided by operating activities, adjusted	\$ 8.5	\$ 6.9	\$ 6.8	\$ 7.4



Non-GAAP Financial Measures

Adjusted Net Debt. Delta uses adjusted total debt, including aircraft rent, in addition to adjusted debt and finance leases, to present estimated financial obligations. Delta reduces adjusted total debt by cash, cash equivalents and short-term investments, resulting in adjusted net debt, to present the amount of assets needed to satisfy the debt. Management believes this metric is helpful to investors in assessing the company's overall debt profile.

(in billions)	(Projected)	
	December 31, 2021	
Debt and finance lease obligations	\$	~27
Plus: sale-leaseback financing liabilities		~2
Adjusted debt and finance lease obligations		~29
Plus: 7x last twelve months' aircraft rent		~3
Adjusted total debt		~32
Less: cash, cash equivalents and short-term investments		~(11)
Adjusted net debt	\$	~21



Non-GAAP Financial Measures

Adjusted Debt to Earnings Before Interest, Taxes, Depreciation, Amortization and Rent ("EBITDAR"). We present adjusted debt to EBITDAR because management believes this metric is helpful to investors in assessing the company's overall debt profile. Adjusted debt includes operating lease liabilities. We calculate EBITDAR by adding depreciation and amortization to GAAP operating income and adjusting for the fixed portion of operating lease expense.

(in billions)	Year Ended			Average
	December 31, 2019	December 31, 2018	December 31, 2017	
Debt and finance lease obligations	\$ 11	\$ 9	\$ 9	\$ 10
Plus: Operating lease liability	6	7	11	8
Adjusted Debt	\$ 17	\$ 16	\$ 20	\$ 18

(in billions)	Year Ended			Average
	December 31, 2019	December 31, 2018	December 31, 2017	
Operating income	\$ 7	\$ 5	\$ 6	\$ 6
Adjusted for:				
Depreciation and amortization	2	2	2	2
Fixed portion of operating lease expense	1	1	2	1
EBITDAR	\$ 10	\$ 8	\$ 10	\$ 9

Adjusted Debt to EBITDAR, adjusted	1.7x	1.9x	2.0x	2.0x
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Non-GAAP Financial Measures

Capital Expenditures, net. We adjust capital expenditures for the following items to determine capital expenditures, net for the reasons described below:

- *Financed aircraft acquisitions.* This adjusts capital expenditures to reflect aircraft deliveries that are leased as capital expenditures. The adjustment is based on their original contractual purchase price or fair value.
- *Net cash flows related to certain airport construction projects.* Cash flows related to certain airport construction projects are included in capital expenditures. We have adjusted for these items, which were primarily funded by cash restricted for airport construction, to provide investors a better understanding of the company's capital expenditures that are core to our operations in the periods shown.

(in billions)	Year Ended					
	(Projected)					
	December 31, 2021	December 31, 2020	December 31, 2019	December 31, 2018	December 31, 2017	2017-2019 Average
Flight equipment, including advance payments	\$ ~1.6	\$ 0.9	\$ 3.3	\$ 3.7	\$ 2.7	\$ 3.3
Ground property and equipment, including technology	~1.6	1.0	1.6	1.4	1.2	1.4
Adjusted for:						
Financed aircraft acquisitions	~0.6	0.8	0.8	0.5	1.1	0.8
Net cash flows related to certain airport construction projects	~(0.9)	(0.4)	(0.4)	(0.4)	(0.2)	(0.4)
Net cash provided by operating activities, adjusted	\$ ~2.9	\$ 2.2	\$ 5.3	\$ 5.2	\$ 4.8	\$ 5.1

